

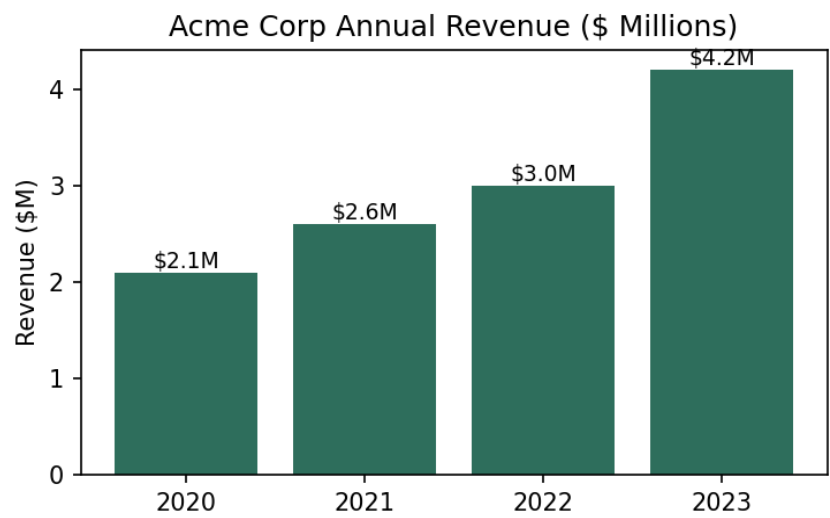
Acme Corp — 2023 Annual Report

Executive Summary

Acme Corp had a strong fiscal year 2023, marked by consistent revenue growth, expansion into two new international markets, and continued investment in product research and development. This report summarizes financial performance, key risks, and strategic priorities for the year ahead.

Financial Highlights

Total revenue grew from \$2.1 million in 2020 to \$4.2 million in 2023, representing a compound annual growth rate of approximately 26%. The steepest year-over-year increase occurred between 2022 and 2023, driven primarily by the launch of the company's enterprise subscription tier.



Operating expenses increased at a slower rate than revenue, improving overall gross margin from 58% in 2020 to 67% in 2023.

Risk Factors

The company faces several risks that could materially affect future performance, including currency volatility in international markets, dependence on a small number of enterprise customers for a significant portion of revenue, and increasing competition from well-funded startups in the same sector. Additionally, the company has identified cybersecurity as an emerging area of concern following a minor data-handling incident in Q3 2023, which did not result in any customer data loss but prompted an internal security audit.

Strategic Priorities for 2024

Management has identified three priorities for the coming year: (1) expanding the enterprise sales team by 40%, (2) launching a self-service onboarding flow to reduce customer acquisition cost, and (3) completing the security audit remediation plan by the end of Q2 2024.